

Chapter 2: Mechanics of Futures Markets (Final Sections)

8. Types of Traders and Types of Orders (Section 2.8)

A. Types of Traders Executing Trades

Two main categories of professionals execute trades on an exchange:

1. Futures Commission Merchants (FCMs):

- Act as **brokers**.
- They execute trades based on the **instructions of their clients** (e.g., hedge funds, corporations, or individual speculators).
- They charge a **commission** for their service.

2. Locals:

- These are individuals trading **on their own account**.
- They are essential to market liquidity, as they often take the other side of trades initiated by FCM clients.

B. Classification of Speculators

Speculators—who bet on the direction of market variables—are further classified by the **holding period** of their positions:

Trader Type	Holding Period	Strategy	Example
Scalpers	Minutes (Very Short-Term)	Watch for very short-term trends and attempt to profit from tiny, small changes in the contract price.	A scalper buys a contract at 10.00 and immediately sells it at 10.01, pocketing the one-cent profit multiple times a minute.
Day Traders	Less than One Trading Day	Hold positions for the duration of the trading session only. They close out everything before the market close.	A day trader buys Crude Oil futures at 10 AM, expecting a report to be favorable, and sells them at 3 PM, unwilling to risk adverse overnight news.
Position Traders	Longer Periods (Days, Weeks, Months)	Hope to make significant profits from major, long-term movements in the markets.	A position trader buys Gold futures today and plans to hold the contract for 3 months, based on their belief in long-term inflation.

C. Types of Orders

These orders instruct the broker (FCM) on *how* and *when* to execute a trade:

Order Type	Description	Execution Trigger & Price	Example
Market Order	Simplest; immediate execution.	Executed immediately at the best available price .	If the current price is \$50.00, the buy order will execute instantly, likely at \$50.00 or \$50.01.
Limit Order	Specifies a particular price.	Executed only at the specified price or one more favorable to the investor.	An investor wants to buy at a limit price of \$30 . The order will only execute if the price is $\leq$ \$30. (No guarantee of execution).
Stop Order (Stop-Loss)	Specifies a trigger price, then becomes a market order.	Executed at the best available price once a bid/offer hits the specified price.	An investor is long at \$35. They place a stop order to sell at \$30 . If the price drops to \$30, it immediately becomes a market order to sell, limiting the loss.

Order Type	Description	Execution Trigger & Price	Example
Stop-Limit Order	Combination of stop and limit orders; requires two prices.	Becomes a limit order once the stop price is hit.	Investor places Stop Price \$40 and Limit Price \$41 to buy. If the price rises to \$40, it becomes a limit order to buy at \$41. The purchase will not occur if the price jumps above \$41.
Market-if-Touched (MIT)	Executed at the best available price after the specified price is hit.	Becomes a market order once the specified price is hit (similar to a stop order, but used for profit taking).	Investor is short at \$50. They place an MIT order to buy at \$45 . If the price falls to \$45, the order executes immediately, locking in the profit.
Discretionary Order	Execution may be delayed by the broker.	Traded as a market order, but the broker can delay execution to try and obtain a better price for the client.	Broker holds the order for 5 minutes, waiting for a slight dip in price before buying.

D. Time Conditions for Orders

- **Day Order:** Expires automatically at the end of the trading day (unless otherwise specified).
- **Open Order (Good-Till-Canceled):** Remains in effect until executed or until the trading for that specific contract expires.
- **Fill-or-Kill:** Must be executed **immediately and completely** upon receipt, or it is canceled.

9. Regulation (Section 2.9)

A. Regulatory Bodies (U.S.)

- **Commodity Futures Trading Commission (CFTC):** The primary federal regulator of U.S. futures markets (established 1974).
 - **Responsibilities:** Protects the public interest, ensures prices are communicated, licenses professionals, sets minimum capital requirements, and takes disciplinary action.
- **National Futures Association (NFA):** An industry-backed self-regulatory organization (SRO).
 - **Role:** Monitors trading, prevents fraud, handles arbitration disputes, and ensures the market operates in the public interest.
- **Dodd–Frank Act (2010):** Expanded the CFTC's role to regulate the OTC market, requiring standardized OTC derivatives (swaps) to be traded on **Swap Execution Facilities (SEFs)** and cleared through **CCPs**.

B. Trading Irregularities

- **Cornering the Market:** A severe type of manipulation where an investor group:
 - i. Takes a huge **long futures position**.
 - ii. Gains control over the **supply** of the underlying commodity.
 - iii. As maturity approaches, the number of contracts outstanding exceeds the available supply.
 - iv. **Result:** Short sellers, unable to deliver, become desperate, causing the futures price (and spot price) to skyrocket.
 - **Example:** The attempt by the Hunt brothers to corner the silver market in 1979–80, which drove silver from \$6 to \$50 per ounce.
 - **Regulatory Response:** Regulators fight this with stricter **position limits**, higher margin requirements, and prohibiting trades that increase a speculator's open position.
- **Internal Trading Irregularities (Rogue Brokers):** Misconduct by traders on the floor.
 - **Example: Front Running**—a broker uses their knowledge of a large customer order to trade first for their own account, profiting from the expected price movement the customer's order will cause.

10. Accounting and Tax

A. Accounting (Hedge Accounting)

- **Non-Hedge Treatment (Marking-to-Market):** If a futures contract is *not* a hedge, its gain or loss must be recognized **when it occurs** (daily settlement).
 - **Example:** A company buys corn futures in Sept 2014 at 650 cents, and closes the position in Feb 2015 at 680 cents. If the settlement price at the end of 2014 was 670 cents:
 - **2014 Gain:** $5,000 \text{ bu} \times (670 - 650 \text{ cents}) = \$1,000$ (recognized in 2014).
 - **2015 Gain:** $5,000 \text{ bu} \times (680 - 670 \text{ cents}) = \500 (recognized in 2015).
- **Hedge Accounting:** If a contract qualifies as a hedge, its gains or losses are recognized in the **same period as the item being hedged**.
 - **Example:** If the corn futures are hedging a purchase of corn in February 2015, the **entire gain of \$1,500** is recognized in **2015**, matching the period when the inventory purchase (and associated cost) occurs.
- **FAS 133 (Standard No. 133):** Requires all derivatives to be included on the balance sheet at **fair market value** and heavily restricts the use of hedge accounting. For hedge accounting to apply, the instrument must be **highly effective** in offsetting the exposure.

B. Tax Treatment (U.S. Rules)

- **Capital Gains/Losses vs. Ordinary Income:**
 - **Corporations:** Capital gains are taxed at the same rate as ordinary income, but capital losses are only deductible up to the amount of capital gains.
 - **Noncorporate Taxpayers:** Long-term capital gains (assets held > 1 year) receive preferential tax rates.
- **The "60/40" Rule (Futures Default Rule):**
 - For noncorporate taxpayers, futures positions are treated as if they were **closed out on the last day of the tax year** (marked-to-market).
 - The resulting gain/loss is treated as **60% long-term capital gain/loss** and **40% short-term capital gain/loss**, regardless of the actual holding period.
 - **Benefit:** This rule provides a significant tax benefit by qualifying 60% of gains for the preferential long-term capital gains rate.
- **Hedging Transaction Exemption:** Hedging transactions are **exempt** from the 60/40 rule and are treated as **ordinary income**.

The tax regulations define a hedge transaction narrowly, requiring it to be:

- Entered into in the normal course of business.
- Primarily to reduce the risk of price changes related to property or borrowings.
- Clearly identified as a hedge in company records.

11. Forward vs. Futures Contracts

This section summarizes the primary differences in market structure and settlement:

Feature	Forward Contract	Futures Contract
Trading Venue	Private contract (OTC Market) between two parties.	Exchange-Traded (Standardized exchange).
Contract Terms	Not standardized (can be customized).	Highly standardized (set by the exchange).
Delivery Date	Usually one specified delivery date.	Range of delivery dates specified.
Settlement	Settled at the end of the contract's life.	Settled daily (marking-to-market).
Closing Out	Usually held to the end (delivery or final cash settlement takes place).	Usually closed out prior to maturity .
Credit Risk	Some credit risk (mitigated by collateral).	Virtually no credit risk (guaranteed by the clearing house).

A. Profits Timing

- **Forward Contract:** The entire gain or loss is realized as a single cash flow at the **end of the contract**.
- **Futures Contract:** The same total gain or loss is realized **day by day** due to the daily settlement procedures, spread out over the life of the contract.
 - **Example:** A trader is long £1 million. The price moves from \$1.50 to \$1.70 over 90 days.
 - **Forward Trader:** Realizes the full gain of **\$200,000** on **Day 90**.
 - **Futures Trader:** Realizes a total net gain of **\$200,000**, but this cash flow is spread across 90 daily settlements (some days gain, some days loss, totaling \$200,000).

B. Foreign Exchange Quotes

- **Futures Quotes (USD):** Always quoted as the number of **US dollars per unit of foreign currency** (or US cents per unit).
- **Forward Quotes:** Always quoted the **same way as spot prices**, which can vary.
 - **Directly Comparable:** Quotes for currencies like the British Pound (GBP) and Euro (EUR) are quoted as USD per unit and are directly comparable with futures quotes.
 - **Inverted Quotes:** Quotes for currencies like the Canadian Dollar (CAD) are often quoted as units of foreign currency per USD.
 - **Example:** A **Futures** quote of **0.9500 USD per CAD** is equivalent to a **Forward** quote of $1/0.9500 = 1.0526$ CAD per USD.